

“Aspire to build a \$5-billion company”

Fresh after the acquisition of Nagarro, **CEO and Executive Director of Persistent Systems, Sandeep Kalra**, talks about how the move will strengthen the company's AI and digital engineering capabilities

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Persistent Systems is making its biggest and boldest bet yet. With its proposed \$1.45-billion acquisition of Germany-based Nagarro, the company is not only executing the largest deal in its history but also positioning itself to become India's seventh-largest IT services firm.

The announcement, however, has triggered mixed reactions on Dalal Street. While investors acknowledge the strategic logic of expanding Persistent's global footprint, many have questioned the steep premium, the sizeable debt required to fund the

transaction, and whether integrating a slower-growing company could weigh on Persistent's industry-leading growth and profitability. However, CEO and Executive Director Sandeep Kalra remains unfazed.

Under Kalra's leadership, Persistent has grown from a niche technology player into a global enterprise with annual revenues surpassing \$1.6 billion, while significantly expanding its capabilities across digital engineering, cloud, cybersecurity, data and analytics, application modernisation, and enterprise AI. He has also led the company's AI-first strategy. Kalra believes Nagarro is the missing piece in Persistent's global ambitions. The acquisition strengthens the company's presence across Europe, West Asia, and Japan. Together, the combined entity is expected to generate nearly \$3 billion in annual revenue.

In a conversation with *Business Today*, Kalra addresses concerns around